

# Executive Summary

**To:** Founding Team

**From:** Ishu Verma

**Subject:** Customer Loyalty and Promotional Strategy Assessment

## Overview

This analysis was conducted to determine whether the business is building a genuinely loyal customer base or relying heavily on promotional incentives to drive sales. The findings indicate that while the company has successfully attracted a valuable segment of customers who are willing to purchase without discounts, customer loyalty has not yet been established. At the same time, excessive promotional activity is reducing profitability without generating additional spending.

## Key Findings

### 1. Absence of Repeat Purchases

A critical observation from the analysis is that every customer in the dataset has made only one purchase. Across the entire customer base of approximately 3,900 customers, the purchase frequency remains equal to one. This represents the most significant challenge to sustainable growth, as even the highest-value customers have not yet returned for a second purchase.

### 2. Promotional Discounts Do Not Increase Spending

The analysis shows that customers who consistently use promotional discounts spend virtually the same amount as customers who purchase at full price within the same revenue category. For example, customers in the Very High Revenue segment spend approximately \$91 per order regardless of whether a discount is applied. This suggests that promotional offers are subsidizing purchases rather than stimulating additional customer spending.

### 3. Existence of a High-Value Customer Segment

The company's most valuable customer segment consists of approximately 545 customers classified as Very High Revenue with No Promotional Dependency. These customers spend an average of \$91 per order, never rely on discounts, and provide strong customer satisfaction ratings averaging 3.8 out of 4.0. Despite their value, these customers have also made only a single purchase, highlighting a significant retention opportunity.

### 4. Promotional Dependency Reduces Profitability

The High Promo Dependency segment, consisting of approximately 1,677 customers, generated revenue of \$99,411, but every purchase was made using a discount. In comparison, the No Promo Dependency segment generated \$133,670 in revenue at full margin. This

demonstrates that discount-reliant customers contribute less profit despite representing a substantial portion of the customer base.

## **Strategic Recommendations**

### **Optimize Promotional Spending**

Promotional discounts should be discontinued for low- and medium-revenue customers who exhibit complete dependency on discounts. These customers do not demonstrate increased spending behavior and provide limited long-term value. The associated marketing budget should be redirected toward customer retention and acquisition of higher-quality customers.

### **Replace Discounts with Loyalty-Based Rewards**

For high-value customers who currently rely on promotions, traditional discounting should be replaced with loyalty-driven incentives such as reward points, exclusive member benefits, early access to product launches, and complimentary premium shipping. A pilot program should be conducted before broader implementation.

### **Strengthen Retention Initiatives**

The company's most valuable customers should be prioritized through targeted retention programs. Recommended initiatives include post-purchase store credits, exclusive product access, personalized communications, and referral programs designed to encourage repeat purchases while preserving profit margins.

### **Focus Customer Acquisition on High-Value Profiles**

Future acquisition efforts should target customers who resemble the existing high-value, non-discount-dependent segment. Marketing campaigns should emphasize product quality, exclusivity, and brand value rather than promotional offers. Advertising investments should prioritize premium channels and lookalike audience strategies over coupon and discount platforms.

## **Expected Business Impact**

Implementation of the recommended strategy is expected to deliver several measurable benefits:

- Annual margin improvement of approximately \$15,000–\$20,000 through reduced promotional spending.
- Stronger brand positioning as a premium quality-focused retailer rather than a discount-driven business.
- Increased customer lifetime value through improved retention and repeat purchasing behavior.
- More efficient marketing spend by focusing resources on high-value customer segments.

## Conclusion

The business is not currently dependent on promotions to generate revenue; however, continued reliance on discounting risks conditioning customers to wait for sales and reducing long-term profitability. The data clearly indicates that the greatest opportunity lies in retaining high-value customers, reducing unnecessary promotional activity, and acquiring additional customers who are willing to purchase at full price. By implementing these recommendations, the company can establish a stronger foundation for sustainable growth, improved margins, and long-term customer loyalty.